Executive Summary

SME Customer Churn

Recommended Solution

•Improve the model before deployment through feature engineering and parameter tuning; use churn probabilities to target retention, focusing on margin, consumption and tenure/contract signals.

Situation

•14,606 customers were modeled to identify churn risk; ~10% of the held-out test set were actual churners.

Complication

•The 90.4% accuracy is misleading: recall is only 4.9%, so 348 of 366 churners were missed. Current features do not clearly separate churners from non-churners.

Question

•Is customer price sensitivity the main driver of churn? Current feature importance suggests it is only a weak contributor; more experimentation is needed.

Business impact: a stronger model could enable earlier, targeted retention; financial impact is not yet quantified.